

repaid in four months. He could even elect to pay off the mortgage on the motel in just three years.

The annual return on that \$5,000 of invested capital is a stunning 400 percent (\$20,000 in annual returns from the investment—\$15,000 in cash flow and \$5,000 in principal repayment). If he borrows the \$5,000 from a fellow Patel, the return on invested capital is infinite: zero dollars in and \$20,000 a year out. That's all fine and dandy you might say, but what if the business does not work out? What if it fails?

For this first motel purchase, Papa Patel not only has to give a lien on the property, but most likely also a personal guarantee to the lender as well. However, Papa Patel has only \$5,000 (or less) to his name, so the personal guarantee is meaningless. If he is unable to make the payments, the bank can take over the property, but he has virtually no assets outside of the motel. The bank has no interest in taking over the motel and running it—it has no such competency. It will be very hard for the bank to sell a money-losing motel and cover their note.

It is very simple: If a Patel cannot make the motel run profitably, no one can. The bank's best option is to work with Papa Patel to make the motel profitable, so the bank is likely to renegotiate terms and try to help Papa Patel get back on track. They might defer principal and interest payments for a few months until conditions improve. And they might raise the interest rate to offset the pain they are enduring. It is net, net: Papa Patel still runs the motel; the family still lives there; and he works as hard and as smart as he can to make it—he has no choice. It's make it work or go bust and homeless.

Remember, this is an existing business with a very stable business model and a long history of cash flow and profitability. It is not rocket science. It is a simple business where the low-cost provider has an unassailable competitive advantage, and no one can run it any cheaper than Papa Patel. The motel business ebbs and flows with the economy. Eventually, conditions are likely to become better, the bank is made current on payments, and everyone is happy—most of all Papa Patel.

Let's look at this investment as a bet. There are three possible outcomes.